

Lampung Verified Cocoa Programme

Indonesia has idle grinding capacity and a shortage of quality beans. We are not proposing another factory. We are proposing the verified fermented supply the factories cannot get — and adding processing only once that supply is proven, certified and sold.

5,000 t

Design-case annual bean intake, industrial plant. Conservative lower bound

2027

First revenue — four years before the industrial plant commissions

Naturland

German organic and fair standard, read without translation by bank, guarantor and buyer

THE CONSTRAINT

Indonesia does not need more grinding capacity

Eleven Indonesian processors hold over 750,000 tonnes per year of installed capacity and run it at roughly 60% for want of local beans. Roughly 300,000 tonnes sits idle. A proposal offering more capacity has to explain itself; a proposal solving supply does not.

Installed capacity, 11 processors — 750,000 t / year

≈ 450,000 t in use

≈ 300,000 t idle

≈ 60% utilisation

the gap is beans, not machines

■ Capacity in use ■ Idle capacity

−5% / yr

National cocoa production, over a decade

+50%

Bean imports over the same period. Indonesia is now a net importer of fermented beans

87%

Of 2024 export volume already leaves as semi-processed product. Grinding-side downstreaming is mature

Food Business MEA (accessed 18 Aug 2026); Bloomberg, 24 Jul 2026; Indonesia Investments (accessed 18 Aug 2026). Idle capacity derived from installed capacity × utilisation.

THE MODEL

Fermentation station → mini plant → industrial plant

Three tracks, run in parallel rather than in sequence. Tracks A and B produce evidence, product and revenue while Track C is still being financed and built.

TRACK A · UPSTREAM

Fermentation stations

District centres inside managed farm areas. Cash purchase of wet bean on the spot.

- **Layer 1** — Lampung, short-radius wet bean
- **Layer 2** — PBPH forestry concessions nationally, shipping dry fermented bean



TRACK B · INTERIM

Pesawaran mini plant

Existing, idle, managed by Disperindag Pesawaran. Reactivated, not built.

- R&D and formulation
- Initial production for market test
- Scale up from a working baseline



TRACK C · DOWNSTREAM

Industrial plant

Sized to provable supply, specified to buyer preference — not to a vendor catalogue.

- Machinery under Euler Hermes cover
- Commissioning Q1 2031

RUNNING IN PARALLEL FROM DAY ONE

Certification. Naturland organic and Naturland Fair. The 36-month conversion clock starts in Phase 0, not later.

Market development. Quiet buyer approach using physical product from Track B. LOI, then contract.

Plant preparation. Feasibility study, permitting and ECA application run early — construction waits for the gate.

Capacity is sized from provable supply, never the reverse. Only written commitments count as supply.

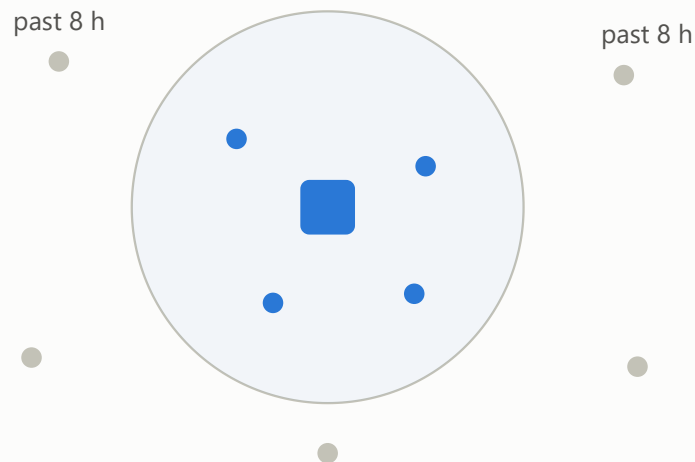
WHY THE DESIGN HOLDS

Fermentation must be local. Aggregation may be national.

Pods rest up to three days after harvest before being broken. But once a pod is opened, the wet beans must be in the fermentation box **within eight hours** — beyond about a day outside, moisture is lost, unwanted microbes take hold and fermentation fails. That clock is a physical limit, not a cost preference.

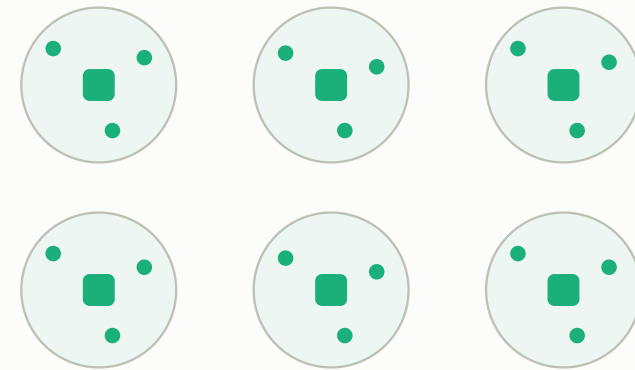
One central facility

inside the 8-hour window



Distant districts cannot be served at equal quality

Six district centres



Every catchment inside the window · each centre one geolocated aggregation point

■ Central facility & plots it can serve ■ Plots outside the window ■ District centre & its catchment

Whole pods · up to 3 days · travels

Pod storage before breaking is standard practice and improves fermentation. This is what makes a **district** centre viable rather than one per village — pods can be gathered across a real catchment.

Wet beans · 8 hours · cannot travel

The binding limit. Wet beans cannot be hauled onward, so one central facility for all of Lampung is physically impossible. Centres are built where pods are opened, and each is added only after the previous one proves volume and quality — **milestone-linked drawdown, not a lump sum.**

Dried below 7% · stable · travels

Once fermented and dried the bean is stable, which is what makes **Layer 2 legitimate**: every concession must build its own fermentation. Each centre is one geolocated point with a defined plot catchment, so plot → centre → plant is short and provable, and TAPAK already records it.

The root cause of low fermentation in Lampung is incentive, not technique. A centre in the farmer's own district means cash on the spot, so the fermentation differential reaches the farmer instead of being promised at season end.

We are not asking for finance to prove we can process cocoa

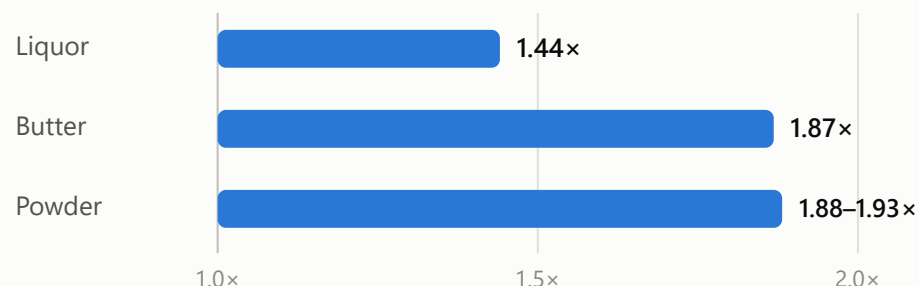
Lampung province has exactly one cocoa mini factory. It is managed by the Dinas Perindustrian dan Perdagangan of Pesawaran Regency, it has been idle for close to a year, and it already runs the full intermediate chain.

PRODUCT	COMMERCIAL INTENT
Nibs	Saleable output and R&D input
Liquor	Primary intermediate for market testing
Butter	Saleable — highest price ratio in the set
Powder	Saleable output
Bar	<i>Promotional and sampling only. Not produced for commercial sale.</i>

The bar line is evidence, not a product line. A credit committee, a guarantor and a buyer can be handed a finished bar made from a named plot, by our own operation, before a single machine is ordered.

Value of processing

Ratio to terminal bean price



Panamir Cocoa Market Trends, June 2026. Ratios are used throughout the financial model instead of loose quotations, so the model stays valid as the terminal price moves.

The cheapest CAPEX in the programme

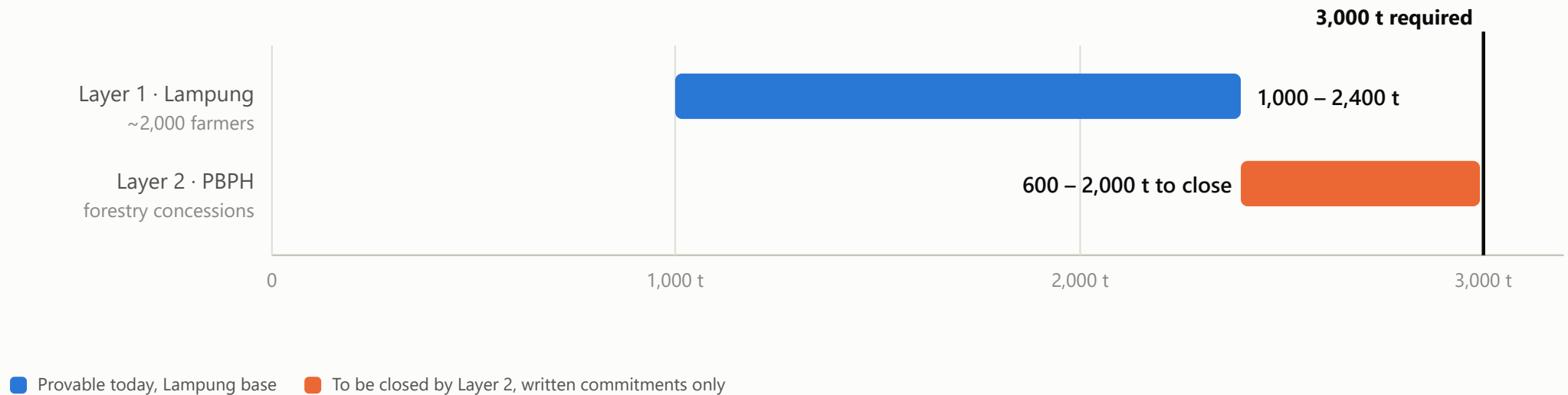
Throughput is constrained by **one or two pieces of equipment**, not by the process. Relieving them lifts output from an already-commissioned line — small, precisely scoped, no commissioning risk, measurable within months.

We are not seeking finance to prove our cocoa processing capability. We are seeking a **finance partner who will grow alongside our farmers and our cocoa industry** — because partner matters.

The facility is government-held: it is presented to the bank as evidence and cash flow, never as security. By the time machinery is ordered under ECA cover we hold actual yields, actual flavour profiles and buyer feedback on product of our own manufacture.

Sized from what we can prove, not from what we would like

A 5,000 tonne plant at the 60% utilisation condition needs 3,000 tonnes of certified fermented bean a year. Our current Lampung base does not reach that alone — so we say so, and show what closes it.



The rule that governs the table

Land potential is not supply. Cooperative membership is not supply. A concession's hectareage is not supply. Only a written commitment enters the count — the same standard by which we rejected the predecessor proposal's claim of 7,500 farmers.

Why Layer 2 is worth more than tonnage

Harvest peaks differ by island, so cross-island supply levels plant intake through the year and lifts achievable utilisation directly. Weather risk diversifies. And a licensed concession carries permits, boundary maps and legality documents by regulation — the strongest EUDR position available.

What the bank is asked to read

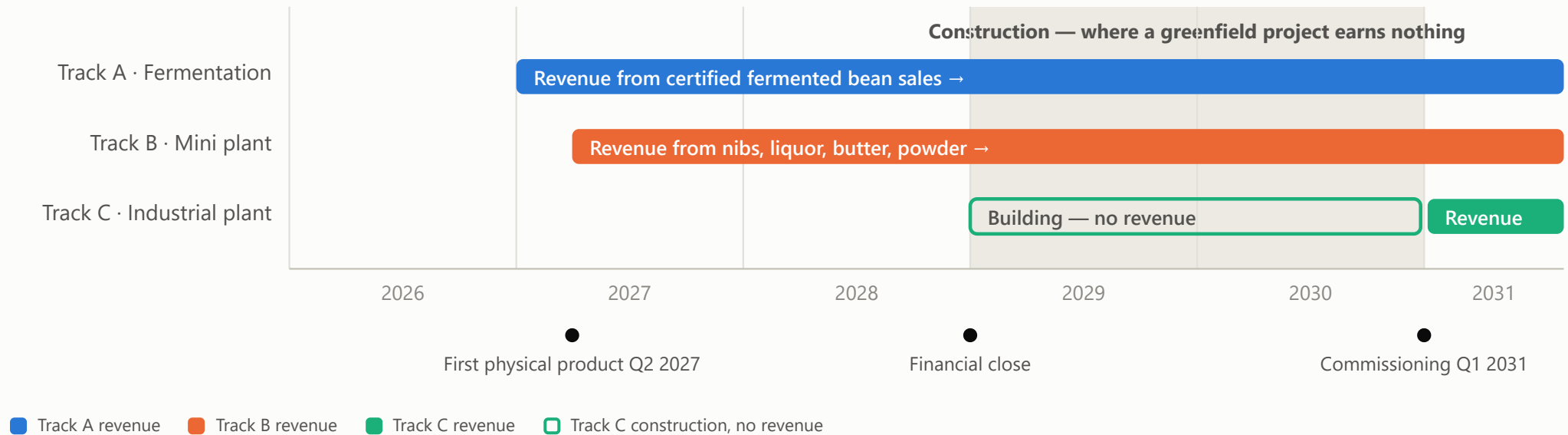
Not a projection — a purchasing ledger. Volume per month, price actually paid, quality actually delivered, per plot, in TAPAK, with dashboard access available to an outside party for independent verification.

Chain: capacity 5,000 t × 60% utilisation = 3,000 t required · one mature fermentation node ≈ 500 t/yr · 6 nodes · wet-bean intake ≈ 7,500 t. Design case takes the conservative bound throughout; the upside case runs to 7,500 t capacity.

THE DIFFERENTIATOR

The project earns revenue throughout construction

Every greenfield cocoa project has a period between financial close and commissioning in which it earns nothing and services debt out of reserves. This one does not.



Our own gates, stated so the committee can see they are ours. No Phase 2 without a signed LOI. No financial close without contracts covering more than 60% of planned capacity. If the Phase 0 figures do not lock, Phase 1 does not begin — the same discipline we used to reject the predecessor proposal, applied to ourselves.

Conservative assumptions throughout: 36-month organic conversion, ECA process 9–18 months to financial close, construction 24 months. Feasibility study and permitting are pulled forward into Phase 1, and the conversion clock starts in Phase 0.

THE SPONSOR

PT Klumbayan Gold Farm — an operating exporter, not a project company

KGF was not assembled for this proposal. It buys, processes and exports today, from a farmer network it organised and trained itself. The capability this programme extends to cocoa is already running.

2022

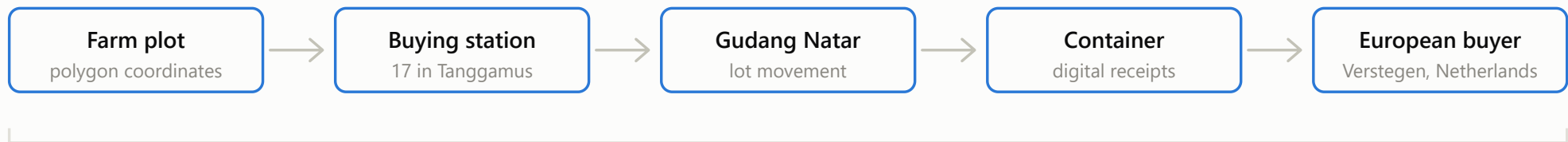
Established in Pesawaran, Lampung, to restore land degraded by former gold mining — the origin of the company name

1,250

Agroforestry smallholders in the network, roughly 900 of them in Tanggamus

2,000 t

Own warehouse and processing facility at Gudang Natar, fed by 17 verified field buying stations



Every step recorded in **TAPAK** — KGF's own traceability platform, live and in production

A buyer asking which farm a lot came from gets a plot-level answer, not an estimate — and partners can be given dashboard access to audit it.

Proven, in pepper and coffee

- **Verstegen Spices and Sauces** (Netherlands) is the anchor buyer — black pepper, 80–100 t contracted for 2026, roughly six containers, with 80% down payment against goods ready for shipment.
- Verstegen completed a **supply chain audit of Gudang Natar in August 2026**.
- Robusta coffee throughput of 300 t per month on a conservative basis.
- Lead local implementer of **aGROWforests**, the GIZ-funded consortium for land restoration and deforestation-free sourcing.

Being extended to cocoa

- Cocoa already sits in the portfolio as powder and nibs. What this programme adds is **fermented supply at volume** — the step nobody in the province is doing.
- **EUDR due diligence is in active preparation** with Verstegen and Fairfood, plot polygons collected and validated through TAPAK.
- The binding constraint on the existing business is **working capital for raw-material purchase**, not plant capacity and not farmer supply — the machinery is underused, so new volume is genuinely additive.
- Institutional engagement: GIZ, **Bappenas**, **Ministry of Forestry**, Ministry of Industry, Bank Indonesia Lampung, Kadin, KNEKS.

Stated without embellishment: **the Netherlands is the only export market to date**, so KGF is an exporter to Europe, not a multi-market one. Organic certification is **not held** — land is in transition. The borrowing entity is confirmed at the 24 August working session.

German public money upstream opens German machinery exports downstream

Upstream — develoPPP (BMZ, via GIZ)

Conditional grant, maximum **EUR 2 million**, matched 50:50. Funds Track A: fermentation centres, farmer training, ICS, certification, EUDR and LkSG compliance systems.

Application window closes 30 September 2026. Ideas competition runs twice a year — missing it moves the upstream funding a full semester.

Downstream — Deutsche Bank under ECA cover

Senior debt for the industrial plant, machinery covered by **Euler Hermes** (Federal Republic of Germany); raw-material working capital under **Swiss PO finance (SERV)**.

Precedent exists: Euler Hermes cover for J.M. Voith machinery exported to Indonesia, disbursed by DZ Bank on a 10-year tenor. Euler Hermes' *flex&cover* revision works in this structure's favour.

The argument runs both ways. To BMZ: this upstream investment is the precondition for a much larger industrial investment financed under German export credit guarantee, while securing EUDR- and LkSG-compliant supply for German industry. To the bank: the upstream is co-financed by BMZ and implemented with GIZ, so supply-security risk falls not because we assert it, but because a German public funder has examined and funded it.

MILESTONE	TARGET
develoPPP submission	30 Sep 2026
First physical product, mini plant	Q2 2027
First buyer LOI	Q4 2027
Contracts covering 60% of capacity	2028
ECA financial close	End 2028
Commissioning	Q1 2031

WHAT WE DO NOT YET HAVE

- **No signed offtake.** No LOI, no sale and purchase contract. This is the largest gap and it cannot be closed with writing — Track B's market test is the mechanism.
- **No accredited feasibility study.** Commences Phase 1, by a public accounting firm on the foreign bank panel.
- **No industrial principle permit, DED or AMDAL.** Processed in parallel from Phase 1.
- **No term sheet** from any guarantor. The structure is verbal to date.
- **Borrower entity not yet fixed.** Resolved at the working session of 24 August.

Stated plainly because a credit committee will find it anyway. Every figure in the full proposal carries a source and a date; unverified items are registered in Annex A rather than smoothed over.